



General Government- Unclassified FY27 Budget Presentation



Jennifer Warren-Dyment, Town Manager, March 12, 2026

General Government- Unclassified

\$4,500,424.59

LIABILITY INSURANCE	248,986.44	226,513.65	249,188.81	233,635.91	239,188.81	230,000.00	9,188.81	-3.84%
WORKERS COMPENSATION	161,882.28	122,983.00	169,976.39	118,079.95	145,000.00	135,000.00	10,000.00	-6.90%
GROUP HEALTH INSURANCE	2,957,469.53	2,536,638.99	3,059,912.01	2,773,391.29	3,298,520.32	3,695,424.59	396,904.27	12.03%
LIFE INSURANCE	15,000.00	15,401.19	15,000.00	17,556.06	15,000.00	20,000.00	5,000.00	33.33%
UNEMPLOYMENT COMPENSATION	10,000.00	11,196.00	10,000.00	217.87	10,000.00	10,000.00	0.00	0.00%
MEDICARE	341,070.00	342,349.51	375,177.00	346,827.88	400,000.00	410,000.00	10,000.00	2.50%
TOTAL GEN. GOV. UNCLASSIFIED	3,734,408.25	3,255,082.34	3,879,254.21	3,489,708.96	4,107,709.13	4,500,424.59	392,715.46	9.56%

General Government- Unclassified



Budget Includes:

- Liability Insurance
- Workers Compensation
- Group Health Insurance
- Group Life Insurance
- Unemployment Expense
- Medicare-Town Share

Changes from Preliminary Budget:

- Preliminary Budget:
\$4,312,004.12
- Current Budget:
\$4,500,424.59

Liability Insurance– \$230,000*

- Property and Casualty Insurance for the Town and Schools: apx. \$161,950 (0% rate guarantee for FY26, 2.5% rate guarantee for FY27, no rate guarantee for FY28)
 - Buildings and Contents: \$160M in coverage (FY26)
 - Equipment Breakdown
 - Crime
 - General Liability
 - Automobiles
 - Law Enforcement
 - Public Officials
 - School Board Legal
- Injured on Duty– apx. \$60,000
- Employee bond premiums
- ClearGov was paid from this line in prior Fiscal Years– ClearGov was not initially budgeted in FY26 and has been eliminated for FY27
- \$5,000 Training Line to Cover Risk Management Training (MCPPO, Munis, etc.)
- Smaller cushion for policy changes with new vehicles/value adjustments– this budget is less conservative

ORG	OBJ	DESCRIPTION	FY24 BUDGET	FY24 ACTUAL	FY25 BUDGET	FY25 ACTUAL	FY26 BUDGET	FY2027	\$ CHANGE	% CHANGE
19452	570010	LIABILITY INSURANCE	233,986.44	221,076.91	234,188.81	231,635.91	234,188.81	225,000.00	(9,188.81)	-3.92%
19452	573100	TRAINING	15,000.00	5,436.74	15,000.00	2,000.00	5,000.00	5,000.00	0.00	0.00%
		TOTAL - LIABILITY INSURANCE	248,986.44	226,513.65	249,188.81	233,635.91	239,188.81	230,000.00	9,188.81	-3.84%

* Adjustment from Preliminary Budget Presentation– Decrease from 2.19.26 Preliminary Budget of \$15,043.53

Workers Compensation– \$135,000

- Workers Compensation Estimated Policy: \$145,000
- Estimated Credits: \$22,000
- Workers Compensation Audit performed Sept. 2025
- Conservative Budget: \$135,000

ORG	OBJ	DESCRIPTION	FY24 BUDGET	FY24 ACTUAL	FY25 BUDGET	FY25 ACTUAL	FY26 BUDGET	FY2027	\$ CHANGE	% CHANGE
19122	570005	WORKERS COMPENSATION	161,882.28	122,983.00	169,976.39	118,079.95	145,000.00	135,000.00	(10,000.00)	-6.90%
		TOTAL – WORKERS COMPENSATION	161,882.28	122,983.00	169,976.39	118,079.95	145,000.00	135,000.00	10,000.00	-6.90%

Group Health Insurance- \$3,695,424.59*

- Total Increase of \$193,440.27 (5.86%)
- Budget Line Includes:
 - Town Active Employees
 - Budgeted Actual Enrollments as of Nov. '25**: \$1,164,059.83- 55 employees
 - Opt Out: \$14,000- currently budgeted 5 Town/5 School)
 - Open Positions and Contingency: 6 Blue Care Elect and 6 Blue Care Individual and remaining Funds will be used to balance snow & ice deficit before utilizing other available funds
 - Insurance Advisor Services ("Insurance Cost Control")

ORG	OBJ	DESCRIPTION	FY24 BUDGET	FY24 ACTUAL	FY25 BUDGET	FY25 ACTUAL	FY26 BUDGET	FY2027	\$ CHANGE	% CHANGE
19142	570001	TOWN ACTIVE HEALTH INSURANCE	1,158,835.62	923,118.18	1,219,887.00	1,012,709.23	1,315,270.06	1,460,424.59	145,154.53	11.04%
19142	570004	INSURANCE COST CONTROL	8,000.00	8,000.00	8,000.00	8,000.00	8,000.00	9,500.00	1,500.00	18.75%
19142	570009	TOWN RETIREES HEALTH INSURANCE	432,251.47	384,372.97	420,343.79	436,174.55	453,214.67	570,000.00	116,785.33	25.77%
19142	570016	PEC CHAPTER 32B EXPENSES	500.00	0.00	500.00	0.00	500.00	500.00	0.00	0.00%
19142	570018	SCHOOL RETIREES HLTH INSURANCE	1,357,882.44	1,221,147.84	1,411,181.22	1,316,507.51	1,521,535.59	1,655,000.00	133,464.41	8.77%
		TOTAL - GROUP HEALTH INSURANCE	2,957,469.53	2,536,638.99	3,059,912.01	2,773,391.29	3,298,520.32	3,695,424.59	396,904.27	12.03%

* Adjustment from Preliminary Budget Presentation- After review of retiree health insurance- increase of \$203,463

** Throughout the Tri-Board process, the November 2025 enrollment numbers have been used to budget health insurance. As enrollment does not fluctuate greatly, and for the sake of consistency, these same numbers continue to be used.

Group Health Insurance- \$3,695,424.59*

- Town Retiree Health Insurance- 67 Retirees
 - Est. Insurance Premium (Town Portion-several employees on active plan and assumed 16% increase for Medicare Blue for Seniors and 19% increase for Medex- Rates adjusted January): \$491,913.55
 - Medicare Supplement: \$77,184.00
- School Retiree Health Insurance- 203 Retirees
 - Est. Insurance Premium (Town Portion-several employees on active plan and assumed 16% increase for Medicare Blue for Seniors and 19% increase for Medex- Rates adjusted January) \$1,419,234.64
 - Medicare Supplement: \$233,856.00
- PEC Expenses

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19142	570001	TOWN ACTIVE HEALTH INSURANCE	1,158,835.62	923,118.18	1,219,887.00	1,012,709.23	1,315,270.06	1,460,424.59	145,154.53	11.04%
19142	570004	INSURANCE COST CONTROL	8,000.00	8,000.00	8,000.00	8,000.00	8,000.00	9,500.00	1,500.00	18.75%
19142	570009	TOWN RETIREES HEALTH INSURANCE	432,251.47	384,372.97	420,343.79	436,174.55	453,214.67	570,000.00	116,785.33	25.77%
19142	570016	PEC CHAPTER 32B EXPENSES	500.00	0.00	500.00	0.00	500.00	500.00	0.00	0.00%
19142	570018	SCHOOL RETIREES HLTH INSURANCE	1,357,882.44	1,221,147.84	1,411,181.22	1,316,507.51	1,521,535.59	1,655,000.00	133,464.41	8.77%
		TOTAL - GROUP HEALTH INSURANCE	2,957,469.53	2,536,638.99	3,059,912.01	2,773,391.29	3,298,520.32	3,695,424.59	396,904.27	12.03%

* Adjustment from Preliminary Budget Presentation- After review of retiree health insurance- increase of \$203,463

** Throughout the Tri-Board process, the November 2025 enrollment numbers have been used to budget health insurance. As enrollment does not fluctuate greatly, and for the sake of consistency, these same numbers continue to be used.

Life Insurance- \$20,000

The Town of Lunenburg offers employees the opportunity to purchase \$5,000 of coverage and will pay 75% of the premium. Premium is \$7.95/month (\$5.96 Town and \$1.99 employee.)

Town pays for Town and School employees.

ORG	OBJ	DESCRIPTION	FY24 BUDGET	FY24 ACTUAL	FY25 BUDGET	FY25 ACTUAL	FY26 BUDGET	FY2027	\$ CHANGE	% CHANGE
19142	570002	LIFE INSURANCE	15,000.00	15,401.19	15,000.00	17,556.06	15,000.00	20,000.00	5,000.00	33.33%
		TOTAL – LIFE INSURANCE	15,000.00	15,401.19	15,000.00	17,556.06	15,000.00	20,000.00	5,000.00	33.33%

Unemployment– \$10,000

Presently level budgeted. May need to be adjusted for FY27 balanced budget which likely requires layoffs.

ORG	OBJ	DESCRIPTION	FY24 BUDGET	FY24 ACTUAL	FY25 BUDGET	FY25 ACTUAL	FY26 BUDGET	FY2027	\$ CHANGE	% CHANGE
19132	570002	UNEMPLOYMENT	10,000.00	11,196.00	10,000.00	217.87	10,000.00	10,000.00	0.00	0.00%
		TOTAL – UNEMPLOYMENT	10,000.00	11,196.00	10,000.00	217.87	10,000.00	10,000.00	0.00	0.00%

Medicare– \$410,000

Medicare taxes are a 1.45% payroll deduction under FICA. This budget line will be revisited once salaries are finalized.

ORG	OBJ	DESCRIPTION	FY24 BUDGET	FY24 ACTUAL	FY25 BUDGET	FY25 ACTUAL	FY26 BUDGET	FY2027	\$ CHANGE	% CHANGE
19142	570003	MEDICARE	341,070.00	342,349.51	375,177.00	346,827.88	400,000.00	410,000.00	10,000.00	2.50%
		TOTAL – MEDICARE	341,070.00	342,349.51	375,177.00	346,827.88	400,000.00	410,000.00	10,000.00	2.50%

PEC Negotiations

- The Town and its employees negotiate health insurance through a Public Employee Committee under MGL c. 32B, s. 19.
- The PEC is comprised of a representative of each bargaining unit, Town and School, and a retiree.
- The PEC and Town are in active negotiations re. the FY27 agreement and beyond.
- If there are changes to the current benefit structure, these will need to be finalized no later than March 31, 2026.
- Changes to the agreement will impact Town and School active and retiree plans.